

1(a)

Given $n = 50$, $\sum x = 212$, $\sum x^2 = 902.8$
 $\sum y = 261$, $\sum y^2 = 1457.6$

$$\sigma_x^2 = \frac{1}{n} \sum x^2 - \bar{x}^2 = \frac{1}{50} (902.8) - \left(\frac{212}{50} \right)^2$$

$$= 18.056 - 17.9776 = 0.0784$$

$$\sigma_x = 0.28, \quad \bar{x} = \frac{212}{50} = 4.24, \quad CV_x = \frac{\sigma_x}{\bar{x}} = \frac{0.28}{4.24} = 0.06604$$

(3 marks)

$$\sigma_y^2 = \frac{1}{n} \sum y^2 - \bar{y}^2 = \frac{1}{50} (1457.6) - \left(\frac{261}{50} \right)^2 = 29.152 - 27.2484$$

$$= 1.9036, \quad \sigma_y = 1.3797, \quad \bar{y} = 5.22$$

$$CV_y = \frac{1.3797}{5.22} = 0.2643 \quad (3 \text{ marks})$$

$CV_x < CV_y$, Hence length x is more consistent
 (1/2 mark)

(b)

Given $\mu_1' = \bar{x} = 5$, $\mu_2 = 20$, $\mu_3 = 140$

$$\mu_1'(A) = \frac{1}{N} \sum_{i=1}^n f_i(x_i - A) = \frac{1}{N} \sum_{i=1}^n f_i x_i - A = \bar{x} - A$$

Hence, $\mu_1'(10) = \bar{x} - 10 = 5 - 10 = -5$

$$\mu_3'(10) = \mu_3 + 3\mu_2\mu_1'(10) + (\mu_1'(10))^3$$

$$= 140 + 3 \times 20 \times (-5) + (-5)^3 = 140 - 300 - 125$$

$$= -285$$

Hence $\boxed{\mu_3'(10) = -285} \quad (2 \text{ marks})$

2(a)

$$\beta_2 \gg 1$$

We know $\beta_2 = \frac{\mu_4}{\mu_2^2} \Rightarrow$ we have to prove $\frac{\mu_4}{\mu_2^2} \gg 1$

$$\Rightarrow \mu_4 \gg \mu_2^2 \quad \text{or} \quad \mu_4 - \mu_2^2 \gg 0$$

$$= \frac{1}{N} \sum_{i=1}^n f_i (x_i - \bar{x})^4 - \left(\frac{1}{N} \sum_{i=1}^n f_i (x_i - \bar{x})^2 \right)^2 \gg 0$$

Let us assume $Z_i = (x_i - \bar{x})^2$

which gives $\frac{1}{N} \sum_{i=1}^n f_i Z_i^2 - \left(\frac{1}{N} \sum_{i=1}^n f_i Z_i \right)^2 > 0$

$$= \sigma_z^2 > 0 \text{ which is always true.}$$

Hence, $\beta_2 > 1$

(3 marks)

(b) $U = X - 6, \sum f = 300, \sum fU = -61, \sum fU^2 = 1445$
 $\sum fU^3 = -1285, \sum fU^4 = 16469$

Solⁿ - If $U = \frac{X-A}{h}, \mu_{rx} = h^r \mu_{ru}$

Here $A = 6, h = 1$, hence $\mu_{rx} = \mu_{ru}$

Hence $\mu'_{1u} = \frac{-61}{300} = -0.2033, \mu'_{2u} = \frac{1}{300}(1445) = 4.8167$

$\mu'_{3u} = \frac{1}{300}(-1285) = -4.2833, \mu'_{4u} = \frac{1}{300}(16469) = 54.8966$

$\mu_{1u} = 0$ (always), $\mu_{2u} = \mu'_{2u} - \mu_{1u}^2 = 4.8167 - (-0.2033)^2 = 4.7754$

$\mu_{3u} = \mu'_{3u} - 3\mu'_{2u}\mu'_{1u} + 2\mu_{1u}^3 = -1.3624$

$\mu_{4u} = \mu'_{4u} - 4\mu'_{3u}\mu'_{1u} + 6\mu'_{2u}\mu_{1u}^2 - 3\mu_{1u}^4 = 52.6028$

Here, $\mu_{rx} = \mu_{ru}$

Hence $\mu_{1x} = 0, \mu_{2x} = 4.7754, \mu_{3x} = -1.3624$
 $\mu_{4x} = 52.6028$

$\beta_1 = \frac{\mu_{3x}}{\mu_{2x}^3} = \frac{(-1.3624)^3}{(4.7754)^3} = 0.0170$ (-vly skewed as $\mu_{3x} < 0$)

$\beta_2 = \frac{\mu_{4x}}{\mu_{2x}^2} = \frac{52.6028}{(4.7754)^2} = 2.3067$ (Platykurtic)

$\mu_{1x}, \mu_{2x}, \mu_{3x}, \mu_{4x}$ ($\frac{1}{2} + \frac{1}{2} + 1 + 2 = 4$ marks)

β_1, β_2 & comments ($\frac{1}{2} + \frac{1}{2} = 1$ mark)